H2 Economics Case Study Practice 1

Macroeconomics — Short-Answer Questions (2–6 marks)

H2 Economics 9570 | Compiled by Jeremy Lim

Instructions to students. This booklet contains three case studies on macroeconomic themes: the Singapore economy and external shocks, inflation and the cost-of-living crisis in the United Kingdom, and unemployment and labour market adjustment in the United States. Each case study contains an extract and a data table, followed by short-answer questions ranging from 2 to 6 marks. Write your answers in the lined spaces provided. Use the mark allocation as a guide to depth: 2-mark questions require a precise definition or identification with reference to the data; 4-mark questions typically require a two-step explanation; 6-mark questions require a developed analytical response supported by an AD/AS diagram or relevant data.

CASE STUDY 1. Singapore Economy and External Shocks

Table 1.1: Selected Singapore Macroeconomic Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	1.3	-3.9	9.7	3.8	1.1
Headline Inflation (%)	0.6	-0.2	2.3	6.1	4.8
Unemployment Rate (%)	2.3	3.0	2.7	2.1	1.9
Current Account Balance (% GDP)	17.1	16.5	18.0	19.3	19.8
S$NEER (% change)	1.2	0.0	0.5	2.0	3.6

Source: Adapted from Monetary Authority of Singapore, Ministry of Trade and Industry, and Department of Statistics Singapore.

Extract 1.1: MAS tightens monetary policy amid imported inflation

Singapore's small and open economy was hit by a sharp rise in imported inflation in 2022 as global commodity prices surged following the Russia-Ukraine conflict and pandemic-era supply chain disruptions. Headline inflation reached 6.1 per cent, well above the central bank's medium-term comfort range. The Monetary Authority of Singapore (MAS) tightened monetary policy five times between October 2021 and October 2022 by re-centring and steepening the slope of the Singapore dollar nominal effective exchange rate (S$NEER) policy band.

The MAS uses the exchange rate, rather than the interest rate, as its primary policy instrument because the Singapore economy is highly import-dependent. Imports account for roughly two-thirds of the consumer price index basket, and gross exports exceed 150 per cent of GDP. A stronger Singapore dollar lowers the domestic price of imports, dampening cost-push inflation and reducing the imported component of household expenditure.

However, the tightening cycle has trade-offs. A stronger S$NEER raises export prices in foreign currency terms, weighing on the price competitiveness of Singapore's externally oriented sectors such as electronics manufacturing and tourism. Economists have warned that the cumulative tightening, combined with the global semiconductor downturn, contributed to the sharp slowdown in real GDP growth from 3.8 per cent in 2022 to 1.1 per cent in 2023.

Source: Adapted from The Straits Times, 14 October 2023.

Question 1 **[2 marks]**

With reference to Table 1.1, compare the trend in Singapore's headline inflation between 2020 and 2022.

Question 2 **[2 marks]**

Define "imported inflation" as used in Extract 1.1, and identify one piece of evidence from the extract that suggests Singapore experienced imported inflation in 2022.

Question 3 **[4 marks]**

Explain how a re-centring and steepening of the S$NEER policy band would help to reduce imported inflation in Singapore.

Question 4 **[4 marks]**

Using the data in Table 1.1, explain one possible cause and one possible consequence of the fall in Singapore's real GDP growth from 3.8 per cent in 2022 to 1.1 per cent in 2023.

Question 5 **[6 marks]**

With the aid of an AD/AS diagram, explain how the appreciation of the S$NEER could simultaneously dampen inflation and reduce real GDP growth in Singapore.

Question 6 **[6 marks]**

Explain why an exchange-rate-centred monetary policy is more appropriate than an interest-rate-centred monetary policy for managing inflation in Singapore. Refer to Extract 1.1 in your answer.

CASE STUDY 2. Inflation and the Cost-of-Living Crisis in the United Kingdom

Table 2.1: Selected United Kingdom Macroeconomic Indicators, 2020–2023

Indicator	2020	2021	2022	2023
Real GDP Growth (%)	-10.4	8.7	4.3	0.1
CPI Inflation, annual (%)	0.9	2.6	9.1	7.3
Bank Rate, end of year (%)	0.10	0.25	3.50	5.25
Average Weekly Earnings, growth (%)	1.6	5.9	6.0	6.6
Unemployment Rate (%)	4.6	4.5	3.7	4.0
Real Household Disposable Income, growth (%)	0.4	1.0	-2.1	-0.8

Source: Adapted from Office for National Statistics and Bank of England.

Extract 2.1: Bank of England raises rates to tame stubborn inflation

United Kingdom CPI inflation peaked at 11.1 per cent in October 2022, the highest level in forty years. The initial shock came from soaring wholesale gas and electricity prices following Russia's invasion of Ukraine, but inflation proved unexpectedly persistent into 2023. Services inflation and wage growth remained elevated even as energy prices receded, raising fears that the cost-push shock had triggered a wage-price spiral.

The Bank of England responded by raising the Bank Rate fourteen consecutive times, from 0.10 per cent in December 2021 to 5.25 per cent by August 2023. Governor Andrew Bailey acknowledged that the tightening cycle would weigh on growth and the labour market, but argued that anchoring inflation expectations was essential to prevent "second-round effects" from becoming entrenched.

For households, the squeeze on real incomes was severe. Although nominal wages grew by 6 per cent in 2022 and 2023, prices grew faster, leaving real household disposable income lower for two consecutive years. Food banks reported record demand, and the Resolution Foundation estimated that the typical British household was £2,300 worse off in real terms compared with pre-pandemic projections.

Source: Adapted from Financial Times, 21 September 2023.

Question 1 **[2 marks]**

Define "demand-pull inflation" and "cost-push inflation".

Question 2 **[2 marks]**

With reference to Table 2.1, explain how a household earning a constant nominal wage would have experienced a fall in real income between 2020 and 2022.

Question 3 **[4 marks]**

Using evidence from Extract 2.1, explain why the United Kingdom's inflation in 2022 is best described as cost-push rather than demand-pull.

Question 4 **[4 marks]**

Explain how a "wage-price spiral" could cause inflation to persist even after the initial cost-push shock has faded.

Question 5 **[6 marks]**

With the aid of an AD/AS diagram, explain how an increase in the Bank Rate from 0.10 per cent to 5.25 per cent would reduce inflation in the United Kingdom.

Question 6 **[6 marks]**

Explain two limitations of using contractionary monetary policy to tackle a cost-push inflation problem of the kind described in Extract 2.1.

CASE STUDY 3. Unemployment and Labour Market Adjustment in the United States

Table 3.1: Selected United States Labour Market and Output Indicators, 2019–2023

Indicator	2019	2020	2021	2022	2023
Real GDP Growth (%)	2.6	-2.2	5.8	1.9	2.5
Unemployment Rate (%)	3.7	8.1	5.4	3.6	3.6
Labour Force Participation Rate (%)	63.1	61.8	61.7	62.2	62.6
Job Vacancies (millions, year-end)	6.8	6.7	11.4	10.5	8.8
CPI Inflation, annual (%)	1.8	1.2	4.7	8.0	4.1
Federal Funds Rate, end of year (%)	1.55	0.09	0.07	4.33	5.33

Source: Adapted from U.S. Bureau of Labor Statistics, Bureau of Economic Analysis, and Federal Reserve.

Extract 3.1: The Great Resignation and a tight US labour market

The United States emerged from the pandemic with one of the tightest labour markets in living memory. By the end of 2021, there were 11.4 million unfilled job vacancies against only 6.3 million unemployed workers, a vacancy-to-unemployment ratio of nearly 1.8. Economists pointed to a confluence of factors: generous fiscal transfers had cushioned household balance sheets, early retirements had reduced the prime-age labour force, and a wave of voluntary resignations, dubbed the "Great Resignation", saw workers leaving for higher pay or better conditions.

The mismatch between job openings and available workers placed sharp upward pressure on wages. Average hourly earnings grew at over 5 per cent year-on-year through 2022, the fastest pace in two decades. The Federal Reserve, which had held the federal funds rate near zero through 2021, embarked on the steepest tightening cycle since the 1980s, raising the policy rate from 0.07 per cent to 5.33 per cent in under twenty months.

By late 2023, the labour market had cooled modestly but had not broken. Job vacancies fell from 11.4 million to 8.8 million, but the unemployment rate remained at 3.6 per cent. Some analysts described this as a rare "soft landing" in which inflation fell without a recessionary spike in unemployment. Others cautioned that structural mismatches, including a skills gap in technology and healthcare and weakened labour force participation among older workers, would continue to limit how low unemployment could sustainably fall.

Source: Adapted from The Wall Street Journal, 8 January 2024.

Question 1 **[2 marks]**

With reference to Table 3.1, describe what happened to the United States unemployment rate between 2019 and 2023.

Question 2 **[2 marks]**

Distinguish between cyclical unemployment and structural unemployment.

Question 3 **[4 marks]**

Using evidence from Extract 3.1, explain one likely cause of cyclical unemployment in the United States in 2020 and one likely cause of structural unemployment by 2023.

Question 4 **[4 marks]**

Explain how the tight labour market described in Extract 3.1 could contribute to demand-pull inflation in the United States.

Question 5 **[6 marks]**

With the aid of an AD/AS diagram, explain how the Federal Reserve's increase in the federal funds rate from 0.07 per cent to 5.33 per cent would reduce inflation and raise unemployment in the United States.

Question 6 **[6 marks]**

Explain two features of the United States labour market in 2023 that supported the "soft landing" description in Extract 3.1.

End of Booklet